

What would happen if you had a horrible skiing accident and you couldn't work for ten months?

At the time of this writing, only Puerto Rico and five states—California, Hawaii, New Jersey, New York, and Rhode Island—require employers to provide any income to disabled employees who get hurt off the job. And federal disability benefits from Social Security are extremely difficult to get; the majority of people who apply are rejected.

Your only real protection, therefore, is likely to be private disability insurance. Although you may never have heard of it, it's something you should have. Ideally, you should have coverage that would pay you 60% to 70% of your income following an accident that left you unable to work. For many young people, disability coverage is more important than life insurance.

If you work for a large company, you may already have some disability insurance under a group policy—and that may be all you need. If you don't work for a company that offers disability protection, consider buying an individual disability policy. This insurance can be very expensive for people who have physical jobs like carpentry or driving a truck.

If Your Employer Offers Disability Insurance

Disability protection is different from workers compensation. **Workers comp**, as it's known, protects you if you're injured while performing your job. Disability insurance, sometimes known as **income protection**, covers you for any injury or illness, whether it happens at home, on vacation, or on the job. (Pregnancy, oddly, can count as a short-term disability here, which is why disability insurance can be especially expensive—and valuable—for women.) If you're lucky enough to work for an employer who provides you with disability insurance, assess exactly how much protection it gives you. Here are some tips to help you understand your coverage and figure out if you need more:

- **Find out what percentage of your income you'll receive if you're disabled.** Large companies with more than 500 employees often provide disability insurance that will pay 60% of your income—usually up to \$5,000 a month—if you suffer a long-term disability. If you earn more than \$100,000